

lot of your money in stocks. But if you're afraid of risk and sickened by the thought of losing money, a large percentage of your investment portfolio should probably be in a money market fund.

- **Are you diversified?** As mentioned above, to reduce the overall risk in your portfolio, you'll want to have a mix of investments. Before you make any decisions, examine the types of investments in your company retirement plan. If you invested your company 401(k) plan mainly in stocks, for example, you'll probably want your other savings to include some bond and money market funds. (For details on 401(k)s, see Chapter 6.)
- **What are your goals?** If you have \$10,000 that you'll need to use in the next year or two for a down payment on a home, don't invest it in a stock fund or a long-term bond fund, where you could lose a lot of it if the market crashes or interest rates soar. But if you're just trying to build up your savings over the next ten or twenty years without a fixed goal in sight, you might want to take some risk in the hope of bigger returns.

One final note: Don't be discouraged if you can't create the perfect investment mix immediately. If you don't yet have enough money to meet the minimums required for separate investments in both a stock fund and a bond fund, don't let that paralyze you. Start with a stock index fund, and then begin investing in a bond fund after you've accumulated some more savings.

↓ **MUTUAL FUND EXPENSES**

Because there's little evidence that one mutual fund manager is any more likely to beat the market than another, it makes sense to focus on the one thing that will *definitely* affect your investment results: the fund's **expense ratio**. This ratio is computed by dividing the fund's **total annual operating**